tenants—became the victims of the money-lender, who fulfilled, under existing conditions, an indispensable function in the primitive village economy. He exploited that function very much to his own advantage, and his stranglehold grew on the land and those connected with it. There were few checks on him. The law helped him, and he stuck to the letter of his bond and claimed, and received, his pound of flesh. Gradually land passed to him both from many of the smaller landlords and the peasant proprietors, and the money-lender blossomed out himself as a proprietor of land on a large scale, a big zamindar, one of the landed gentry. The peasant proprietor, who had so far cultivated his own land, now became almost a serf of the bania-zamindar or *sahukar*. The tenant's position was even worse. He was also a *sahukar's* serf or he joined the increasing army of the dispossessed landless proletariat. The financier or banker who thus developed into a landowner had no living contacts with the soil or the tenantry. He was usually a city dweller, where he carried on his banking business, and he delegated the collection of rent to agents who did the work with the callousness and inhumanity of machines.

The progressive growth of agricultural indebtedness was in itself evidence of the unsoundness and instability of the land system. The vast majority of the population had no reserves of any kind, physical or material, no power of resistance, and lived on the verge of starvation. They could not stand any unusual occurrence of an unfavourable character. An epidemic would sweep away millions. In 1929 and 1930 it was estimated by the officially-appointed Provincial Banking Inquiry Committee that the agricultural indebtedness of India (including Burma) was 860 crores of rupees. This figure included the debts of landlords, peasant proprietors and tenants, but it was mainly the debt of actual cultivators. Government currency policy has entirely favoured the creditor classes, and this has added to the heavy burden of the debt. Thus the fixing of the rupee ratio at one shilling and sixpence, instead of sixteen pence, in spite of vehement Indian opposition, meant increasing the agricultural debt by 12½ per cent., or by about 107 crores.[1]

[1] The figure of 860 crores for the agricultural indebtedness of India is probably a gross under-estimate, and, in any event, it must have gone up considerably during the last four or five years. The Punjab part of the figure, estimated by the Punjab Provincial Banking Inquiry Committee in 1929, was 135 crores. The report of the Select Committee on the Punjab Relief from Indebtedness Bill (presented in October 1934) states that "the debt burden of the